briefly or cutting down consumption temporarily. Let us remember that Indian farmers receive, on average, the lowest prices in the world for their onion produce.

Banning Exports is Not the Solution

Our distorted policies to handle production, storage, exports and imports are primarily responsible for this state of affairs.

Politicians are primarily driven by the instinct and intent to keep consumers happy and offer them onions at less than Rs 15–20 per kg. To ensure this, India has adopted a very restrictive and ad hoc export policy. Two instruments are used: fixing a minimum export price (MEP) and banning exports outright. The MEP instrument is deployed as soon as there is a feeling that onion prices might shoot up beyond Rs 20 a kg in wholesale markets. An MEP towards the higher end of global prices is fixed to discourage farmers/traders to export. Whenever wholesale prices go beyond Rs 30–50, an outright export ban is put in place. When prices crash, and it happens usually as soon as the new Rabi crop arrives, these restrictions are relaxed.

ECA-1955 was amended in 2020 and it sought to place higher hurdles in terms of minimum price rise before the government resorts to imposing of storage and export controls. However, with a small rise in onion prices immediately after the ECA was amended in September 2020, the government imposed a ban on onion exports.

Unnecessary and ad hoc restrictions imposed through foreign trade policy and under the ECA are quite often at the root of the onion price crisis. And control on production, transportation, trading and exports of agricultural commodities are at the root of farmers' poverty.